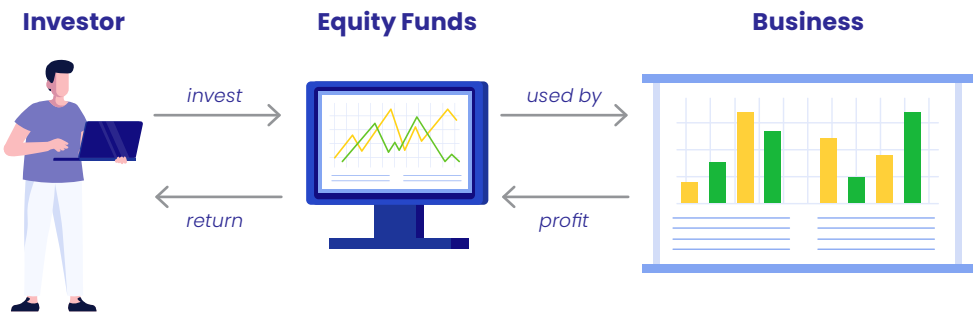


1.1. Basics of Futures Contracts

Consider the Indian equity derivatives market. As the name suggests, this market deals with equities. Equities are buyer-seller agreements for trading the underlying asset at a specific price. In this market, you will see the highest liquidity in futures and options. It means traders can easily buy and sell these contracts without changing their market price significantly.



Let us start with futures contracts. We believe that it will make understanding options easier.

The National Stock Exchange (NSE) lists more than 2,000 companies. However, less than 200 meet the eligibility criteria for futures contracts. A company must achieve these criteria to trade its futures on exchanges. They include the following:

